



DALAL & BROACHA

EMPLOYEE CODE OF CONDUCT

Version 1.0_2022



BACKGROUND AND APPLICABILITY

Dalal & Broacha Group's ('D&B' or 'D&B Group') Code of Conduct is in alignment with its values and commitments. The essence of this code is that each employee should conduct the Company's business in a way that upholds its values and commitments. This code expects every employee to conduct business with integrity, in compliance with applicable laws, and in a manner that excludes consideration of direct or indirect personal advantage / gains.

It is the responsibility of each individual at D&B to ensure that they imbibe the values, commitments, and procedures, and behave in accordance with the spirit as well as the letter of this code. D&B recognizes that it is vital that the behavior of its employees matches the high intentions and values which can be achieved by adhering to the elements of this code and the accompanying principles and procedures.

The principles and procedures in this Code of Conduct apply to material transactions and describe the conduct expected of every D&B employee.

The D&B Code of Conduct is applicable to all employees including the Chief Executive Officer, Managing Directors and Directors of the D&B Group

D&B Group is engaged in various financial services and capital market intermediary activities viz., stock broking, portfolio management services, depository participant, Research analysts etc. and is regulated by multiple regulators hence all the employees will follow the regulatory guidelines and internal control policy along with the code of conduct.

D&B CODE OF CONDUCT

1. Ethical Conduct

Every employee of D&B, which shall include the Managing Directors and CEO, shall deal on behalf of the Company with professionalism, honesty, integrity as well as high moral and ethical standards. Such conduct shall be fair and transparent and be perceived to be as such by third parties. Every employee shall be responsible for the implementation of and compliance with the Code in his/her professional environment. Any fraud, attempted fraud or failure to adhere to the Code could attract consequences including termination of employment.

2. Regulatory Compliance

Every employee of D&B shall, in his/her business conduct, comply with all applicable laws and regulations, both in letter and in spirit, in all the territories in which he/she operates.

3. Concurrent Employment

An employee of a D&B shall not, without the prior approval of the Chief Executive Officer/ designated reporting authority/ Head of HR of the Company accept employment or a position of responsibility (such as a consultant or a director) with any other company.

4. Conflict of Interest

Conflict of Interest will exist or arise when the private or business interests of an Employee will or may interfere with the business interests of D&B or its clients or which may influence or appear to influence their judgement or quality or services

An employee of D&B shall not engage in any business, relationship or activity which might detrimentally conflict with the interest of D&B. A conflict of interest, actual or potential, may arise where, directly or indirectly. The main areas of such actual or potential conflicts of interest would include the following:

- Financial interest of an employee of D&B or his relatives including substantial holding of an investment in the subscribed share capital of any company or a share in any firm which is an actual or potential competitor, supplier, customer, distributor, joint venture or other alliance partner of D&B.
- Acceptance of gifts, donations, hospitality and/or entertainment beyond the customary level from existing or potential suppliers, customers or other third parties which have business dealings with the Company.



5. Securities Transactions and Confidential Information

An employee of D&B and his immediate family shall not derive any benefit or assist others to derive any benefit from the access to and possession of information about the client D&B is serving which is not in the public domain and thus constitutes insider information. All D&B employees shall adhere to the Prevention of Insider Dealing Policy.

6. Anti-Money Laundering Controls

Every D&B employee must pay particular attention to transactions which do not make economic sense or which may be designed to layer or disguise the ultimate source or destination of funds or to transactions involving countries where drug trafficking, corruption, bribery or terrorism are prevalent.

Every D&B employee shall fully comply with D&B policy and procedures on Prevention of Money Laundering. Every suspicious transaction shall be reported to the Principal officer.

7. Confidentiality

Every D&B employee must respect and preserve the confidentiality of information received in the course of their jobs. Confidentiality is essential to maintain the trust and confidence of D&B's clients, to protect sensitive information on the Companies own activities and to comply with the local laws and regulations. Confidential information may only be used for business purpose for which it was provided and by employees who "need to know" in order to perform their duties. It may not be used by any employee for personal profit or gain.

8. Protecting Company Assets

The assets of D&B should not be misused but employed for the purpose of conducting the business for which they are duly authorized. These include tangible assets such as equipment and machinery, systems, facilities, materials, resources as well as intangible assets such as proprietary information, relationships with customers and suppliers, etc.

9. Citizenship

An employee of D&B shall in his private life be free to pursue an active role in civic or political affairs as long as it does not adversely affect the business or interests of D&B.

10. Integrity of data furnished

Every employee of D&B shall ensure at all times the integrity of data or information furnished by him to the Company.



11. Accepting gifts, meals and entertainment from client and others doing business with D&B

Every employee of D&B may never solicit for himself/herself or for anyone else (other than the Company) anything of value from anyone in return for any business, service or confidential information of D&B or accept anything of value, directly or indirectly (other than bonafide salary, wages, awards, incentives and fees paid by or to the Company), from anyone in connection with the business of D&B, either before or after a transaction is discussed or consummated.

A gift may take any forms. It includes items or favours of value for which employees are not required to pay the retail or usual and customary cost. A gift may include meals or refreshment, goods, services, tickets to entertainment or sporting events or the use of a residence vacation home or other accommodations etc.

Acceptance of gifts of any kind (including entertainment and hospitality) from persons that do business with D&B is generally discouraged. However Gifts, entertainment, and hospitality may be acceptable if they are reasonable, made in good faith and in ordinary course of business or due to customary/ traditional gesture. No employee should accept or solicit any personal benefit from anyone in the course of Company's business or employment in a manner that might compromise or appear to compromise their objective assessment relating to such business or employment.

12. Sexual Harassment

D&B demands, demonstrates and promotes professional behavior and respectful treatment of all employees. Sexual harassment includes unwelcome sexually determined behavior such as: unwelcome physical contact; a demand or request for sexual favours; sexually colored remarks; showing pornography and any other unwelcome physical, verbal or non-verbal conduct of a sexual nature. D&B maintains an open door for reportees; encourages employees to report any harassment concerns and is responsive to employee complaints about harassment or other unwelcome and offensive conduct. Sexual harassment incidents may be reported to the Managing Director/Head Human Resources.

The Management will take immediate and appropriate action to prevent and to correct behavior that violates this policy. Such conduct will be subject to disciplinary action and could include termination of employment.

Every employee of D&B shall promptly report to the Management on any actual or possible violation of the Code or an event no sooner than he/she becomes aware, which could affect the business or reputation of D&B. If you wish to report any such concern or need any clarification regarding the code of conduct, please write to the CEO or Head-Human Resources.



The Executive Director / Chief Executive Officer has overall responsibility for ensuring that this Policy complies with our legal and ethical obligations and that all those under our control comply with it. Managers at all levels are responsible for ensuring that those reporting to them are made aware of this Policy and also monitor compliance of it. Every person to whom this policy applies is responsible for the success of this Policy and should ensure that he / she should use it to disclose any suspected activity or wrong-doing.

Additional guidelines for Stock Broking entity:

A. GENERAL

- (1) **INTEGRITY:** A stock-broker, shall maintain high standards of integrity, promptitude and fairness in the conduct of all his business.
- (2) **EXERCISE OF DUE SKILL AND CARE:** A stock-broker, shall act with due skill, care and diligence in the conduct of all his business.
- (3) **MANIPULATION:** A stock-broker shall not indulge in manipulative, fraudulent or deceptive transactions or schemes or spread rumors with a view to distorting market equilibrium or making personal gains.
- (4) **MALPRACTICES:** A stock-broker shall not create false market either singly or in concert with others or indulge in any act detrimental to the investors' interest or which leads to interference with the fair and smooth functioning of the market. A stock-broker shall not involve himself in excessive speculative business in the market beyond reasonable levels not commensurate with his financial soundness.
- (5) **COMPLIANCE WITH STATUTORY REQUIREMENTS:** A stock-broker shall abide by all the provisions of the Act and the rules, regulations issued by the Government, the Board and the stock exchange from time to time as may be applicable to him.

B. DUTY TO THE INVESTOR

- (1) **EXECUTION OF ORDERS:** A stock-broker, in his dealings with the clients and the general investing public, shall faithfully execute the orders for buying and selling of securities at the best available market price and not refuse to deal with a Small Investor merely on the ground of the volume of business involved. A stock-broker shall promptly inform his client about the execution or non-execution of an order, and make prompt payment in respect of securities sold and arrange for prompt delivery of securities purchased by clients.
- (2) **ISSUE OF CONTRACT NOTE:** A stock-broker shall issue without delay to his client a contract note for all transactions in the form specified by the stock exchange.



(3) BREACH OF TRUST: A stock-broker shall not disclose or discuss with any other person or make improper use of the details of personal investments and other information of a confidential nature of the client which he comes to know in his business relationship.

(4) BUSINESS AND COMMISSION:

(a) A stock-broker shall not encourage sales or purchases of securities with the sole object of generating brokerage or commission.

(b) A stock-broker shall not furnish false or misleading quotations or give any other false or misleading advice or information to the clients with a view of inducing him to do business in particular securities and enabling himself to earn brokerage or commission thereby.

(5) BUSINESS OF DEFAULTING CLIENTS: A stock-broker shall not deal or transact business knowingly, directly or indirectly or execute an order for a client who has failed to carry out his commitments in relation to securities with another stock-broker.

(6) FAIRNESS TO CLIENTS: A stock-broker, when dealing with a client, shall disclose whether he is acting as a principal or as an agent and shall ensure at the same time, that no conflict of interest arises between him and the client. In the event of a conflict of interest, he shall inform the client accordingly and shall not seek to gain a direct or indirect personal advantage from the situation and shall not consider clients' interest inferior to his own.

(7) INVESTMENT ADVICE: A stock-broker shall not make a recommendation to any client who might be expected to rely thereon to acquire, dispose of, retain any securities unless he has reasonable grounds for believing that the recommendation is suitable for such a client upon the basis of the facts, if disclosed by such a client as to his own security holdings, financial situation and objectives of such investment. The stock-broker should seek such information from clients, wherever he feels it is appropriate to do so.

(8) Investment Advice in publicly accessible media: A stock broker or any of his employees shall not render, directly or indirectly, any investment advice about any security in the publicly accessible media, whether real - time or non real-time, unless a disclosure of his interest including the interest of his dependent family members and the employer including their long or short position in the said security has been made, while rendering such advice.

(9) COMPETENCE OF STOCK BROKER: A stock-broker should have adequately trained staff and arrangements to render fair, prompt and competent services to his clients.



Code of Conduct for Portfolio Manager

1. A Portfolio Manager shall, in the conduct of his business, observe high standards of integrity and fairness in all his dealings with his clients and other Portfolio Managers.
2. The money received by a portfolio manager from a client for an investment purpose should be deployed by the portfolio manager as soon as possible for that purpose and money due and payable to a client should be paid forthwith.
3. A Portfolio Manager shall render at all times high standards of service, exercise due diligence, ensure proper care and exercise independent professional judgement. The portfolio manager shall either avoid any conflict of interest in his investment or disinvestment decision, or where any conflict of interest arises, ensure fair treatment to all his customers. He shall disclose to the clients, possible sources of conflict of duties and interests, while providing unbiased services. A portfolio manager shall not place his interest above those of his clients.
4. A Portfolio Manager shall not make any statement or become privy to any act, practice or unfair competition, which is likely to be harmful to the interests of other Portfolio Managers or is likely to place such other Portfolio Managers in a disadvantageous position in relation to the Portfolio Manager himself, while competing for or executing any assignment.
5. A Portfolio Manager shall not make any exaggerated statement, whether oral or written, to the client either about the qualification or the capability to render certain services or his achievements in regard to services rendered to other clients.
6. At the time of entering into a contract, the portfolio manager shall obtain in writing from the client, his interest in various corporate bodies which enables him to obtain unpublished price-sensitive information of the body corporate.
7. A Portfolio Manager shall not disclose to any clients, or press any confidential information about his client, which has come to his knowledge.
8. The portfolio manager shall where necessary and in the interest of the client take adequate steps for registration of the transfer of the clients' securities and for claiming and receiving dividends, interest payments and other rights accruing to the client. He shall also take necessary action for conversion of securities and subscription/renunciation of/or rights in accordance with the clients' instruction.



9. A Portfolio Manager shall endeavor to -

(a) ensure that the investors are provided with true and adequate information without making any misguiding or exaggerated claims and are made aware of attendant risks before any investment decision is taken by them;

(b) Render the best possible advice to the client having regard to the client's needs and the environment, and his own professional skills.

(c) ensure that all professional dealings are effected in a prompt, efficient and cost effective manner.

(d) (1) A Portfolio Manager shall not be a party to creation of false market in securities, price rigging or manipulation of securities, passing of price sensitive information to brokers, members of the stock exchanges and any other intermediaries in the capital market or take any other action which is prejudicial to the interest of the investors.

(2) No Portfolio manager or any of its directors, partners or manager shall either on their respective accounts or through their associates or family members, relatives enter into any transaction in securities of companies on the basis of unpublished price sensitive information obtained by them during the course of any professional assignment.

11.(a) A Portfolio Manager or any his employees shall not render, directly or indirectly any investment advice about any security in the publicly accessible media, whether real-time or non-real-time, unless a disclosure of his long or short position in the said security has been made, while rendering such advice.

(b) In case an employee of the Portfolio Manager is rendering such advice, he shall also disclose the interest of his dependent family members and the employer including their long or short position in the said security, while rendering such advice.

The portfolio manager shall abide by the Act, and the Rules, Regulations made thereunder and the Guidelines / Schemes issued by the Board and shall not use his status as any other registered intermediary to unduly influence the investment decision of the clients while rendering portfolio management services



Code of Conduct for Depository Participant

1. A Participant shall make all efforts to protect the interests of investors.
2. A Participant shall always endeavor to-
 - o render the best possible advice to the clients having regard to the clients' needs and the environments and his own professional skills;
 - o ensure that all professional dealings are affected in a prompt, effective and efficient manner;
 - o inquiries from investors are adequately dealt with;
 - o grievances of investors are redressed without any delay.
3. A Participant shall maintain high standards of integrity in all its dealings with its clients and other intermediaries, in the conduct of its business.
4. A Participant shall be prompt and diligent in opening of a beneficial owner account, dispatch of the Dematerialisation Request Form, Rematerialisation Request Form and execution of Debit Instruction Slip and in all the other activities undertaken by him on behalf of the beneficial owners.
5. A Participant shall endeavor to resolve all the complaints against it or in respect of the activities carried out by it as quickly as possible and not later than 30 days of receipt.
6. A Participant shall not increase charges / fees for the services rendered without proper advance notice to the Beneficial Owners.
7. A Participant shall not indulge in any unfair competition, which is likely to harm the interests of other Participants or investors or is likely to place such other Participants in a disadvantageous position while competing for or executing any assignment.
8. A Participant shall not make any exaggerated statement whether oral or written to the clients either about its qualifications or capability to render certain services or about its achievements in regard to services rendered to other clients.
9. A Participant shall not divulge to other clients, press or any other person any information about its clients which has come to its knowledge except with the approval / authorization of the clients or when it is required to disclose the information under the requirements of any Act, Rules or Regulations.
10. A Participant shall co-operate with the Board as and when required.
11. A Participant shall maintain the required level of knowledge and competency and abide by the provisions of the Act, Rules, Regulations and circulars and directions issued by the Board. The Participant shall also comply with the award of the Ombudsman passed under Securities and Exchange Board of India (Ombudsman) Regulations, 2003.



12. A Participant shall not make any untrue statement or suppress any material fact in any documents, reports, papers or information furnished to the Board.
13. A Participant shall not neglect or fail or refuse to submit to the Board or other agencies with which it is registered, such books, documents, correspondence, and papers or any part thereof as may be demanded / requested from time to time.
14. A Participant shall ensure that the Board is promptly informed about any action, legal proceedings etc., initiated against it in respect of material breach or non-compliance by it, of any law, rules, regulations, directions of the Board or of any other regulatory body.
15. A Participant shall maintain proper inward system for all types of mail received in all forms.
16. A Participant shall follow the Maker - Checker concept in all of its activities to ensure the accuracy of the data and as a mechanism to check unauthorized transaction.
17. A Participant shall take adequate and necessary steps to ensure that continuity in data and record keeping is maintained and that the data or records are not lost or destroyed. It shall also ensure that for electronic records and data, up-to-date back up is always available with it.
18. A Participant shall provide adequate freedom and powers to its compliance officer for the effective discharge of his duties and shall ensure that it has satisfactory internal control procedures in place as well as adequate financial and operational capabilities which can be reasonably expected to take care of any losses arising due to theft, fraud and other dishonest acts, professional misconduct or omissions.
19. A Participant shall be responsible for the acts or omissions of its employees and agents in respect of the conduct of its business.
20. A Participant shall ensure that the senior management, particularly decision makers have access to all relevant information about the business on a timely basis.
21. A Participant shall ensure that good corporate policies and corporate governance are in place.



Code of Conduct for Research Analyst

1. Honesty and Good Faith: Research analyst or research entity shall act honestly and in good faith.
2. Diligence: Research analyst or research entity shall act with due skill, care and diligence and shall ensure that the research report is prepared after thorough analysis.
3. Conflict of Interest: Research analyst or research entity shall effectively address conflict of interest which may affect the impartiality of its research analysis and research report and shall make appropriate disclosures to address the same.
4. Insider trading or front running: Research analyst or research entity or its employees shall not engage in insider trading or front running or front running of its own research report.
5. Confidentiality: Research analyst or research entity or its employees shall maintain confidentiality of report till the report is made public.
6. Professional Standard: Research analyst or research entity or its employees engaged in research analysis shall observe high professional standard while preparing research report.
7. Compliance: Research analyst or research entity shall comply with all regulatory requirements applicable to the conduct of its business activities.
8. Responsibility of senior management: The senior management of research analyst or research entity shall bear primary responsibility for ensuring the maintenance of appropriate standards of conduct and adherence to proper procedure

For Dalal & Broacha Stock-Broking Pvt. Ltd.

Director / Authorised Signatory

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